

First Impressions: NZ building work put in place (Q1 2026)

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#newzealand



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Construction activity was softer than expected in the March quarter, with falls in both residential and non-residential building work.



Building activity – March quarter 2026 (seasonally adjusted)

Total construction: -3.5% (previous: -0.6%), Westpac f/c: +1.0%

Residential building work: -2.2% (previous: 1.1%), Westpac f/c: +1.5

Non-residential building work: -4.0% (previous: -5.3%), Westpac f/c: +0.5%

Building activity softer than expected in the March quarter

Total building activity fell 3.5% over the quarter – below our forecast for a modest rise.

March's drop was a result of a 4% fall in the amount of non-residential building activity. That continues a down trend seen over the past two years.

Residential building was down 2%. That's a modest drop, with the level of residential building effectively remaining flat over the past year.

Residential activity

March saw a 2% drop in residential building activity. That sort of move is well within the normal range of quarterly swings.

Stepping back and looking at the longer-term trend, overall residential building activity has been broadly flat over the past year. However, there are notable differences across the country - while building activity in Auckland has continued to gradually lift, activity in other regions has eased.

We expect to see home building activity turn higher through the latter part of the year, with the number of new dwellings consented up 11% over the past year.

However, what's less clear is whether that momentum will be sustained as we head into 2027, with interest rates and building costs pushing higher, while house prices remain soft. Combined with broader uncertainty about the economic outlook, developers are likely to be cautious about initiating new projects over the months ahead.

Non-residential activity

Non-residential building levels have continued to trend down, falling 4% over the past quarter. That is the ninth consecutive quarter of decline, with softness in economic activity discouraging the development of new commercial space.

In our recent talks with businesses, a number of those we spoke to indicated that they're holding off on major capital expenditure for the time being due to uncertainty about the economic landscape. Consistent with that, we expect some further softness over the remainder of this year.

Implications for March quarter GDP

We're forecasting a 0.8% rise in GDP over the March quarter (released on 18 June). Today's softer than expected result follows firmer indications for the retail sector. We'll take a closer look at how our forecast for GDP growth is shaping up over the coming week as additional data on March quarter activity is released.

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